



Interim Report
of the DINO POLSKA S.A. Group
for H1 2022



Unofficial translation. Only the Polish version is binding.

DINO POLSKA Spółka Akcyjna ("Dino", "Company", "parent company")

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 30 June 2022 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("Interim H1 2022 Report", "Report") comprises the interim condensed consolidated financial statements of the DINO POLSKA S.A. Group ("Group", "Dino Group") for the 6-month period ended 30 June 2022 ("Financial Statements"), the Company's interim condensed financial statements for the 6-month period ended 30 June 2022 and additionally the information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 18 August 2022 ("Report Date"). The date of publication is 18 August 2022.

TABLE OF CONTENTS

1. Dino Group's financial highlights	4
2. Management Board Activity Report	5
2.1. Operations of the Dino Group	5
2.1.1. Business profile	5
2.1.2. Recap of the Dino Group's operations in H1 2022	6
2.1.3. Factors impacting Dino's operations and results	11
2.1.4. Threats and risks related to the other months of the year	12
2.2. Shareholders of the Company and shares held by management board and supervisory board members.....	13
2.3. Group – general information and description of the changes in its organization	14
2.4. Other information	16
3. Management Board's representation.....	18
4. Appendices.....	19
4.1. Interim consolidated condensed financial statements of the Dino Polska S.A. Group for the 6-month period ended 30 June 2022	
4.2. Interim condensed financial statements of Dino Polska S.A. for the 6-month period ended 30 June 2022.....	
4.3. Auditor's reports on the review of the financial statements	

1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	01.01.2022- 30.06.2022	01.01.2021- 30.06.2021	01.01.2022- 30.06.2022	01.01.2021- 30.06.2021
Sales revenue	8,740,937	6,011,032	1,882,727	1,321,919
Operating profit	640,566	438,429	137,973	96,417
Profit before tax	577,284	418,066	124,342	91,939
Net profit	464,513	341,009	100,052	74,993
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	4.74	3.48	1.02	0.76
Cash flow from operating activities	448,881	528,477	96,685	116,220
Cash flow from investing activities	(723,956)	(708,895)	(155,934)	(155,897)
Cash flow from financing activities	9,620	(96,211)	2,072	(21,158)
Net change in cash and cash equivalents	(265,455)	(276,629)	(57,177)	(60,835)

*In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in the reporting period were used:

- NBP's average exchange rate for H1 2022: PLN 4.6427/EUR;
- NBP's average exchange rate for H1 2021: PLN 4.5472/EUR;

	PLN 000s		EUR 000s*	
	30.06.2022	31.12.2021	30.06.2022	31.12.2021
Total assets	7,656,094	7,168,531	1,635,708	1,558,580
Total non-current assets	5,769,518	5,183,347	1,232,645	1,126,962
Total current assets	1,886,576	1,985,184	403,063	431,618
Equity	3,534,703	3,070,190	755,182	667,520
Share capital	9,804	9,804	2,095	2,132
Non-current liabilities	1,225,429	1,092,804	261,810	237,597
Current liabilities	2,895,962	3,005,537	618,716	653,463

* In the case of data in EUR, the average exchange rates in the period were used, as published by the National Bank of Poland:

- NBP's average exchange rate as at 30 June 2022: 4.6806 PLN/EUR;
- NBP's average exchange rate as at 31 December 2021: 4.5994 PLN/EUR.

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 30 June 2022 the Dino network consisted of 1,975 stores with a total selling area of 775,001 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 919, i.e. 87%, in the period of three years up to 30 June 2022. Its geographic expansion has been accompanied by significant like for like (LFL) revenue growth in its current store network, which in H1 2022 stood at 25.5% compared to the corresponding period of 2021. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standardized store design, equipped with parking places for its customers and supplied with fresh products every day of the week. The sales floor area in most stores is approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on seven distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network expands. These drivers, combined with operational leverage and store network maturation, should be conducive to gradually enhancing Dino Polska's profitability.

Dino's strategy assumes further business development by focusing on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years Dino Polska generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

We regularly analyze the risks and opportunities related to climate change as we pursue Dino Polska's business objectives. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group. In H1 2022 Dino Polska continued to install photovoltaic panels on the rooftops of Dino stores whereby the Dino Polska Group's electricity demand is being satisfied to a greater degree by renewable energy sources. In H1 2022 the number of Dino stores outfitted with their own photovoltaic installations rose

from 802 to 1,124 while the total capacity of these panels climbed to 40 MW. In H1 2022 the Dino Group generated 19.1 GWh of electricity from the sun versus 7 GWh in the corresponding period of 2021¹.

2.1.2. Recap of the Dino Group's operations in H1 2022

In H1 2022, the Dino Group's revenue totaled PLN 8,740.9 million and was PLN 2,729.9 million, i.e. 45.4%, higher than in H1 2021. Concurrently, the cost of sales rose 46.3% to PLN 6,579.9 million.

In Q2 2022, the Dino Group's revenue totaled PLN 4,886.7 million and was PLN 1,636.3 million, i.e. 50.3% higher than in Q2 2021. Concurrently, the cost of sales rose 51.7% to PLN 3,702.9 million.

The table below presents selected line items from the consolidated statement of profit or loss.

(PLN 000s)	H1 2022	H1 2021	Change H1 '22/ H1 '21	Q2 2022	Q2 2021	Change Q2 '22/ Q2 '21
Sales revenue	8,740,937	6,011,032	45.4%	4,886,680	3,250,332	50.3%
Cost of sales	(6,579,872)	(4,497,778)	46.3%	(3,702,931)	(2,441,490)	51.7%
Gross profit on sales	2,161,065	1,513,254	42.8%	1,183,749	808,842	46.4%
Other operating income	5,383	4,157	29.5%	3,106	2,399	29.5%
Sales and marketing expenses	(1,456,312)	(1,022,285)	42.5%	(775,683)	(531,620)	45.9%
General administration expenses	(64,031)	(50,964)	25.6%	(30,200)	(25,655)	17.7%
Other operating expenses	(5,539)	(5,733)	-3.4%	(3,260)	(3,302)	-1.3%
Operating profit	640,566	438,429	46.1%	377,712	250,664	50.7%
Financial income	1,292	644	100.6%	832	451	84.5%
Financial expenses	(64,574)	(21,007)	207.4%	(36,375)	(10,385)	250.3%
Profit before tax	577,284	418,066	38.1%	342,169	240,730	42.1%
Income tax	(112,771)	(77,057)	46.3%	(69,031)	(44,556)	54.9%
Net profit	464,513	341,009	36.2%	273,138	196,174	39.2%

In H1 2022 profit measured by EBITDA grew year on year by 41.7% to PLN 783.4 million. The EBITDA margin was 8.96% versus the 9.19% margin posted in H1 2021. In Q2 2022 profit measured by EBITDA grew by 45.4% to PLN 450.6 million. The EBITDA margin was 9.22%, i.e. 0.31 percentage points below Q2 2021.

The following table presents EBITDA.

(PLN 000s)	H1 2022	H1 2021	Change H1 '22/ H1 '21	Q2 2022	Q2 2021	Change Q2 '22/ Q2 '21
Net profit	464,513	341,009	36.2%	273,138	196,174	39.2%
Income tax	(112,771)	(77,057)	46.3%	(69,031)	(44,556)	54.9%
Result on financing activity	(63,282)	(20,363)	210.8%	(35,543)	(9,934)	257.8%
EBIT	640,566	438,429	46.1%	377,712	250,664	50.7%
EBIT margin	7.33%	7.29%	-	7.73%	7.71%	-
Depreciation and amortization	(142,856)	(114,264)	25.0%	(72,895)	(59,247)	23.0%
EBITDA	783,422	552,693	41.7%	450,607	309,911	45.4%
EBITDA margin	8.96%	9.19%	-	9.22%	9.53%	-

¹The Q1 2022 erroneously stated that in Q1 2022 and Q1 2021 the Company generated 23.5 GWh and 4.1 GWh, respectively of solar power; in fact, these figures pertained to generation from when the Company originally launched the PV installations until that time. The actual generation of solar power in these periods 5.1 GWh and 1.3 GWh, respectively.

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in current stores (like for like, LfL)². The 45.4% increase in revenue in H1 2022 was accompanied by nearly 33% growth in the shopping volume of consumers in Dino stores in this period versus the corresponding period of 2021.

LfL sales growth in H1 2022 was 25.5%. In Q2 2022 LFL sales growth was 29.8%. At the same time, the number of purchases in LfL stores was up by nearly 15% in H1 versus H1 2021.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	H1 2022	Q2 2022	Q1 2022	H1 2021	Q2 2021	Q1 2021	2021	2020	2019
Inflation (deflation).....	11.8	13.9	9.7	3.6	4.5	2.7	5.1	3.2	2.3
Food price inflation.....	11.1	13.4	8.7	1.1	1.6	0.6	3.2	4.7	4.9
Dino's LFL	25.5	29.8	20.4	9.5	11.7	7.0	12.4	12.6	11.6

Fresh products, including meat, cold cuts and poultry, accounted for 39.4% of the Group's sales in Q2 2022 and for 39.1% in the first half of 2022.

The table below shows the structure of sales revenues by product in individual periods.

%	H1 2022	H1 2021	Q2 2022	Q2 2021
Fresh products.....	39.1	38.0	39.4	37.4
Other groceries*.....	48.7	49.2	48.5	49.8
Non-grocery products	12.2	12.8	12.1	12.8

* in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen food, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes

Dino store network roll-out

In Q2 2022, 96 new Dino stores were launched. 162 new stores were opened in total in H1 2022 versus 150 in the corresponding period of last year. As at 30 June 2022, the Dino network numbered 1,975 stores, 353 more than last year.

The following table presents information on the Dino Group's number of stores on the specified dates.

	Number of stores as at 30 June		Number of stores as at 31 December		
	2022	2021	2021	2020	2019
Number of new store openings in H1 / year	162	150	343	255	243
Total number of stores	1975	1622	1815	1473	1218
Total selling area (m ²).....	775,001	633,247	710,433	573,489	472,224
Growth of sales area y/y.....	22.4%	25.4%	23.9%	21.4%	25.7%

Cost of sales

The cost of sales was 75.3% and 74.8% of revenue, respectively in H1 2022 and H1 2021. The cost of sales rose PLN 2,082.1 million, i.e. by 46.3% to PLN 6,579.9 million in H1 2022 with a corresponding 45.4% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino store network and rising sales in the current store network (LFL). To a lesser extent, it was also driven by higher prices to purchase merchandise.

² Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.

Sales and marketing expenses

Sales and marketing expenses grew by PLN 434.0 million, i.e. 42.5% to PLN 1,456.3 million in H1 2022. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the Dino store network and rising LFL sales in its existing stores, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

General administration expenses

General administration expenses rose PLN 13.1 million, or 25.6%, to PLN 64.0 million in H1 2022. This was caused mainly by the expansion of the Dino store network (some administrative functions expanded in line with the Dino store network).

Costs by nature

The following table presents costs by nature.

(PLN 000s)	H1 2022	H1 2021	Change H1 '22/ H1 '21	Q2 2022	Q2 2021	Change Q2 '22/ Q2 '21
Depreciation and amortization	142,856	114,264	25.0%	72,895	59,247	23.0%
Consumption of materials and energy	752,671	480,657	56.6%	435,926	255,030	70.9%
External services	291,203	187,991	54.9%	168,857	93,926	79.8%
Taxes and fees	159,980	113,553	40.9%	86,955	61,175	42.1%
Employee benefits	1,014,788	747,372	35.8%	527,764	384,519	37.3%
Other costs by nature	32,888	23,557	39.6%	18,423	13,670	34.8%
Cost of goods and materials sold	5,711,783	3,909,085	46.1%	3,197,290	2,130,534	50.1%
Total costs by nature, including:	8,106,169	5,576,479	45.4%	4,508,110	2,998,101	50.4%
Items captured in cost of sales	6,579,872	4,497,778	46.3%	3,702,931	2,441,490	51.7%
Items captured in sales and marketing expenses	1,456,312	1,022,285	42.5%	775,683	531,620	45.9%
Items captured in general administration expenses	64,031	50,964	25.6%	30,200	25,655	17.7%
Movement in products	5,954	5,452	9.2%	-704	-664	6.0%

Total costs by nature increased by PLN 2,529.7 million, or 45.4%, to PLN 8,106.2 million in H1 2022 compared to PLN 5,576.5 million in H1 2021, mainly as a result of higher: (i) costs of merchandise and materials sold (up PLN 1,802.7 million), (ii) costs of employee benefits (up PLN 267.4 million) and (iii) consumption of materials and energy (up PLN 272.0 million).

The costs of employee benefits rose PLN 267.4 million, i.e. 35.8% to PLN 1,014.8 million in H1 2022 compared to PLN 747.4 million in H1 2021. This growth resulted primarily from the higher number of Dino Group employees from 28,236 as at 30 June 2021 to 34,502 as at 30 June 2022 in connection with the Dino Group's expanding business size and the related expansion of the Dino store network and rising LFL sales in current stores and, to a smaller extent, from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 272.0 million, or 56.6%, to PLN 752.7 million in H1 2022 versus PLN 480.7 million in H1 2021. This growth was caused by the Dino Group's growing business size and the ensuing expansion of the Dino store network and growing LFL sales in existing stores and the substantial electricity price hike.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services increased by PLN 103.2 million, or 54.9%, to PLN 291.2 million in H1 2022 compared to PLN 188.0 million in H1 2021. This growth was mainly caused by the Dino Group's expanding business size and the related expansion of the Dino Group's store network and growing LFL sales in the existing store network, as well as by the inflation in the prices of external services, especially inflation in the costs of transport due to rising fuel prices.

Financial expenses

The Dino Group's financial expenses rose PLN 43.6 million, or 207.4%, to PLN 64.6 million in H1 2022 compared to PLN 21.0 million in H1 2021. This increase followed from higher interest rates.

Balance sheet – assets

The table below presents selected line items of the balance sheet.

(PLN 000s)	2022-06-30	2022-03-31	2021-12-31	2021-06-30	Change 30.06.22 / 31.12.21	Change 30.06.22 / 30.06.21
Property, plant and equipment	5,515,433	5,171,712	4,911,353	4,345,648	12.3%	26.9%
Right-of-use assets	131,559	135,944	139,931	164,183	-6.0%	-19.9%
Intangible assets	96,119	97,071	96,947	97,902	-0.9%	-1.8%
Other non-financial assets (non-current)	0	0	0	2	-	-100.0%
Deferred tax assets	26,407	28,870	35,116	21,232	-24.8%	24.4%
Total non-current assets	5,769,518	5,433,597	5,183,347	4,628,967	11.3%	24.6%
Inventories	1,532,394	1,477,535	1,373,463	889,653	11.6%	72.2%
Trade and other receivables	135,328	120,984	144,012	54,267	-6.0%	149.4%
Income tax receivables	0	0	55	88	-100.0%	-100.0%
Other non-financial assets	64,218	98,401	47,712	54,624	34.6%	17.6%
Other financial assets	1,476	1,330	1,327	1,053	11.2%	40.2%
Cash and cash equivalents	153,160	277,421	418,615	203,789	-63.4%	-24.8%
Total current assets	1,886,576	1,975,671	1,985,184	1,203,474	-5.0%	56.8%
TOTAL ASSETS	7,656,094	7,409,268	7,168,531	5,832,441	6.8%	31.3%

Total assets increased by PLN 487.6 million, i.e. 6.8%, from PLN 7,168.5 million as at 31 December 2021 to PLN 7,656.1 million as at 30 June 2022. Compared to 30 June 2021, total assets rose by PLN 1,823.7 million, or 31.3%.

As at 30 June 2022, the main components of total assets were: (i) property, plant and equipment (constituting 72.0%), (ii) inventories (constituting 20.0%) and (iii) cash and cash equivalents (constituting 2.0%).

Non-current assets rose by PLN 586.2 million, i.e. 11.3%, from PLN 5,183.3 million as at 31 December 2021 to PLN 5,769.5 million as at 30 June 2022. Compared to 30 June 2021, non-current assets rose by PLN 1,140.6 million, or 24.6%. In both cases this growth was mainly caused by higher property, plant and equipment which, in turn, was caused primarily by Dino's network rollout and capital expenditures.

Current assets diminished by PLN 98.6 million, i.e. 5.0%, from PLN 1,985.2 million as at 31 December 2021 to PLN 1,886.6 million as at 30 June 2022. Compared to 30 June 2021, current assets rose by PLN 683.1 million, or 56.8%.

Balance sheet – liabilities and equity

The table below presents selected line items of the balance sheet.

(PLN 000s)	2022-06-30	2022-03-31	2021-12-31	2021-06-30	Change 30.06.22 / 31.12.21	Change 30.06.22 / 30.06.21
Equity	3,534,703	3,261,565	3,070,190	2,607,572	15.1%	35.6%
Share capital	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	3,512,021	2,707,720	2,707,720	2,699,610	29.7%	30.1%
Retained earnings	5,378	536,541	345,166	(109,342)	-98.4%	-104.9%
Other equity	7,500	7,500	7,500	7,500	0.0%	0.0%
Total equity	3,534,703	3,261,565	3,070,190	2,607,572	15.1%	35.6%
Interest-bearing loans and borrowings	713,400	797,823	583,014	675,107	22.4%	5.7%
Lease liabilities (LT)	36,514	43,073	46,621	53,679	-21.7%	-32.0%
Other liabilities	120	120	150	150	-20.0%	-20.0%
Liabilities by virtue of outstanding securities (LT)	450,000	450,000	450,000	249,937	0.0%	80.0%
Provisions for employee benefits	4,827	4,827	4,827	2,844	0.0%	69.7%
Deferred tax liability	20,566	22,008	8,187	31,638	151.2%	-35.0%
Accruals and deferred revenue (LT)	2	3	5	9	-60.0%	-77.8%
Total non-current liabilities	1,225,429	1,317,854	1,092,804	1,013,364	12.1%	20.9%
Trade and other payables	2,429,864	2,170,329	2,454,051	1,713,023	-1.0%	41.8%
Current part of interest-bearing loans and borrowings	324,645	306,510	196,169	215,919	65.5%	50.4%
Lease liabilities (ST)	25,316	25,485	27,721	33,515	-8.7%	-24.5%
Liabilities by virtue of outstanding securities (ST)	6,496	173,951	171,642	170,907	-96.2%	-96.2%
Income tax liabilities	24,249	78,719	93,017	6,721	-73.9%	260.8%
Accruals and deferred revenue (ST)	83,448	72,911	60,993	70,088	36.8%	19.1%
Provisions for employee benefits and other provisions	1,944	1,944	1,944	1,332	0.0%	45.9%
Total current liabilities	2,895,962	2,829,849	3,005,537	2,211,505	-3.6%	30.9%
Total liabilities	4,121,391	4,147,703	4,098,341	3,224,869	0.6%	27.8%
TOTAL EQUITY AND LIABILITIES	7,656,094	7,409,268	7,168,531	5,832,441	6.8%	31.3%

As at 30 June 2022, the main components of liabilities were: (i) trade and other payables representing 59.0%; (ii) interest-bearing loans and borrowings (long-term) representing 17.3% thereof and (iii) liabilities under outstanding securities (long-term) representing 10.9%.

Total liabilities rose PLN 23.1 million, i.e. 0.6%, from PLN 4,098.3 million as at 31 December 2021 to PLN 4,121.4 million as at 30 June 2022. Total liabilities rose by PLN 896.5 million, i.e. 27.8% from PLN 3,224.9 million as at 30 June 2021 to PLN 4,121.4 million as at 30 June 2022.

Total liabilities increased by PLN 132.6 million, or 12.1%, from PLN 1,092.8 million as at 31 December 2021 to PLN 1,225.4 million as at 30 December 2022, chiefly due to higher drawn down investment facilities. Compared to 30 June 2021, non-current liabilities rose PLN 212.1 million, or 20.9%.

Current liabilities dipped PLN 109.6 million, or 3.6% from PLN 3,005.5 million as at 31 December 2021 to PLN 2,896.0 million as at 30 June 2022. Compared to 30 June 2021, current liabilities increased by PLN 684.5 million, or 30.9%, driven predominantly by an increase in trade and other payables (up PLN 716.8 million, as a result of the Dino Group's expanding business size).

The Dino Group's net debt³ stood at PLN 1,403.2 million as at 30 June 2022, signifying growth of PLN 346.6 million compared to 31 December 2021 and growth of PLN 207.9 million compared to 30 June 2021. The net debt to EBITDA ratio for the last 12 months was 0.9x as at 30 June 2022 versus 1.0x one year ago.

Cash flows

The table below presents selected line items of the statement of cash flows.

(PLN 000s)	H1 2022	H1 2021	Change H1 '22/ H1 '21	Q2 2022	Q2 2021	Change Q2 '22/ Q2 '21
Net cash from operating activities, including:						
<i>profit before tax</i>	448,881	528,477	-15.1%	546,717	335,382	63.0%
<i>depreciation and amortization</i>	577,284	418,066	38.1%	342,169	240,730	42.1%
<i>movement in working capital</i>	142,856	114,264	25.0%	72,895	59,247	23.0%
<i>other</i>	(172,984)	92,683	-	202,445	104,663	93.4%
Net cash from investing activities	(98,275)	(96,536)	1.8%	(70,792)	(69,258)	2.2%
Net cash from financing activities	(723,956)	(708,895)	2.1%	(388,588)	(342,046)	13.6%
Net cash from financing activities	9,620	(96,211)	-	(282,390)	(72,671)	288.6%
Net increase in cash and cash equivalents	(265,455)	(276,629)	-4.0%	(124,261)	(79,335)	56.6%

The Dino Group generated net cash flow from operating activities in H1 2022 totaling PLN 448.9 million, or 15.1% less than in H1 2021. Net cash flow from investing activities was negative and totaled PLN (724.0 million) in H1 2022 and was at a similar level as the cash flow from investing activities in H1 2021. The high level of cash flow from investing activities stemmed chiefly from the large number of new Dino store openings in H1 2022, the expansion of production capacities in the Agro Rydzyna meat processing plant and the development of logistics (in Q1 2022 the construction of the Company's eighth distribution center in the community of Kaliska in the Kujawy and Pomorskie Region).

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors may affect the Dino Group's business until the end of 2022:

- the pace of new store openings by Dino Polska and the related capital expenditures, which may be adversely affected by the high level of inflation in the construction sector and the rising debt financial expenses; the Management Board's priorities in subsequent quarters span the conduct of restrictively selecting sites for new Dino stores to keep the inflation in the costs of store construction at the lowest possible level while simultaneously limiting the usage of debt financing,
- changes in consumer spending precipitated by evolving business conditions, especially high food inflation and the generally high level of inflation, which may contribute to deterioration in consumers' disposable income,
- rising prices of agricultural commodities, electricity, natural gas, packaging and labor costs, which translates into rising costs of producing food, and hence to higher prices for the products store networks buy from food producers; the aforementioned factors also directly affect the operating expenses of the Dino Polska Group and in total they may exert pressure on the Group's profitability,
- the high pace of growth in the Company's business size, which should translate into improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, as well as improved efficiency of logistics services provided to the stores.

³ defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.

One special factor that may affect Dino Polska's business is the war in Ukraine. Although Dino Polska does not operate outside Poland and in principle it does not procure products in Russia and Ukraine, and therefore, on the Report Date, it has not identified a direct material impact exerted by the war on the Company's business, one cannot preclude that as a result of escalation of the military conflict, its impact on Ukraine's economy and due to the sanctions imposed on Russia, disruptions may emerge on the international markets for agricultural merchandise and other commodities. That in turn may ratchet up the pressure to increase the costs of producing foodstuffs. These costs may subsequently be passed on to store networks and that may also generally contribute to even higher operating expenses among food producers and distributors. The possible impact of a military conflict in a country neighboring with Poland on the sentiment of Polish consumers may be mitigated in the case of Dino Polska's business by the fact that Dino stores distribute food, in other words, staples. In turn, the influx of refugees from Ukraine to Poland may lead to higher demand for the products offered in Dino stores. To counteract the risks related to the war in Ukraine Dino Polska takes initiatives focused on enlarging the group of food producers with which it cooperates and on strengthening relations with suppliers. Moreover, to ensure greater product availability in Dino stores the Company strives to maintain high levels of inventories in its distribution centers. Concurrently, to ensure that Dino stores are attractive to consumers, and thereby to sustain the favorable growth rate in revenue, the prices of several hundred key products are regularly checked and set at a competitive level in respect of discount networks.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.1.4. Threats and risks related to the other months of the year

Changes to the general economic situation, which are beyond Dino Group's control, may result in lower consumer demand, which may have an adverse impact on the Dino Group's business

The Dino Group operates in Poland on the grocery retail market, which depends on the demand generated by consumers. The demand generated by consumers is a result of a number of factors beyond the Dino Group's control, in particular the macroeconomic situation and political conditions. Change of the economic factors on the market in Poland, in the EU or globally, including the change in the GDP growth rate, total inflation, inflation or deflation of food prices, increase of the unemployment rate, decline of salaries or decrease of expenditures on consumption and investments, may have an adverse impact on the Dino Group or the sector in which the Dino Group operates, including the sales revenues generated by the Dino Group or its costs.

The deterioration of the epidemiological situation could have an adverse effect on the activity of the Dino Group

As of the Report Date, an epidemiological threat is in force in Poland signifying a substantial degree of probability of the occurrence of an epidemic (after the epidemic was called off in May 2022).

A significant resurgence in the number of COVID-19 infections and the return of the epidemic and the ensuing limitations imposed by the government on economic agents and the population's mobility may exert an unfavorable impact on Dino, also on its revenue, costs, business continuity in various areas and the Company's supply chain. The Company monitors the epidemiological situation related to COVID-19 in Poland and its impact on its business on an ongoing basis. To mitigate its impact, just as in 2020-2021 when the epidemic did not exert a major impact on Dino, the Company is prepared to implement the pertinent changes to its operating procedures in accordance with the recommendations of the health authorities.

Demanding situation on the labor market may adversely affect the Dino Group's business

Dino operates in a sector characterized by relatively high employee turnover. The low level of unemployment in Poland, which is accompanied by a high level of competition for store employees between entities operating in the retail trade sector, may contribute to Dino sustaining higher employee attrition and troubles with attracting new employees. Moreover, the aforementioned factors may exert more pressure on raising the costs of wages.

The occurrence of these circumstances may exert an adverse impact on the Dino Group's business, its financial standing, performance or prospects.

The Dino Group may not be able to implement its store rollout strategy

The Dino Group's strategy provides for, among others, further growth through continuation of fast organic growth of the store network. Successful implementation of the Dino Group's development strategy depends, among others, on the economic conditions, access to external financing, absence of unfavorable changes in the regulatory environment, finding real estate on acceptable commercial terms which satisfy the requirements set by the Dino Group, efficient opening of new stores, employment, training and retention of store personnel, and integration of the new stores with the supply chain operating in the Dino Group in a manner ensuring the highest possible profitability.

Even if the Dino Group manages to open new stores in line with the adopted strategy, the newly opened stores may not break even within the originally assumed timelines or at all, or the increase in sales revenues or sales revenue in the current store network (LFL) may turn out lower than assumed by the Management Board, and the Dino Group may be exposed to incurring additional, unexpected costs associated with opening new stores. In addition, the analysis carried out by the Dino Group before opening a given store may turn out incorrect among others due to lower than expected customer traffic in the vicinity of the store or unexpected circumstances. The occurrence of these circumstances may exert an adverse impact on the Dino Group's business, its financial standing, performance or prospects.

The market on which the Dino conducts operations is characterized by a high level of competition, and the pressure from the competitors may have an adverse impact on margins or growth prospects

The market on which Dino conducts operations is characterized by a high level of competition due to the presence and constant growth of large organized retail chains, including supermarkets, discount stores and convenience stores, which frequently operate on a scale greater than Dino's scale of business. There is no certainty that Dino will be able to compete effectively with its current or future competitors, in particular in terms of prices and promotions and in terms of the product assortment offered, which could bring about a decline in the Dino Group's rate of growth, stagnation or a decline in Dino's market share and a reduction in its profitability. As a consequence, this could adversely affect the Dino Group's business, financial position and results.

Changes in the tax law applicable to the operations of the Dino Group or its interpretation, as well as changes in individual tax rulings may adversely affect the Dino Group

The activities of the Dino Polska Group are subject to various regulations in the field of tax law. There can be no assurance that the tax authorities will not issue a different tax ruling in regard to the tax regulations applied by the Company or Dino Group companies, which could be unfavorable to the Company or Dino Group companies. Also, there can be no assurance that the individual tax rulings obtained and applied by the Company or the Dino Polska Group companies will not change or be rendered inoperative. One cannot preclude the possibility of the tax authorities challenging the correctness of tax settlements made by the Company or the Dino Group companies, which may have an adverse effect on the Dino Group's business, its financial standing and results. There is also a risk that, as new regulations are implemented or VAT increases, the Company or the Dino Group companies will have to undertake adaptive efforts, which may lead to higher expenses or possibly to a decrease in the level of sales and revenues of the Dino Group.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special

control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino Polska shares.

The table below depicts the shareholder structure of DINO POLSKA S.A. as at the Report Date.

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ⁴	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member of the Company, held 30,000 Company shares as at the Report Date. Compared to the publication date of the Q1 2022 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, a Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the Q1 2022 report).

The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 33,667 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of shares in the Company held by the Supervisory Board members has not changed since the publication date of the Q1 2022 report.

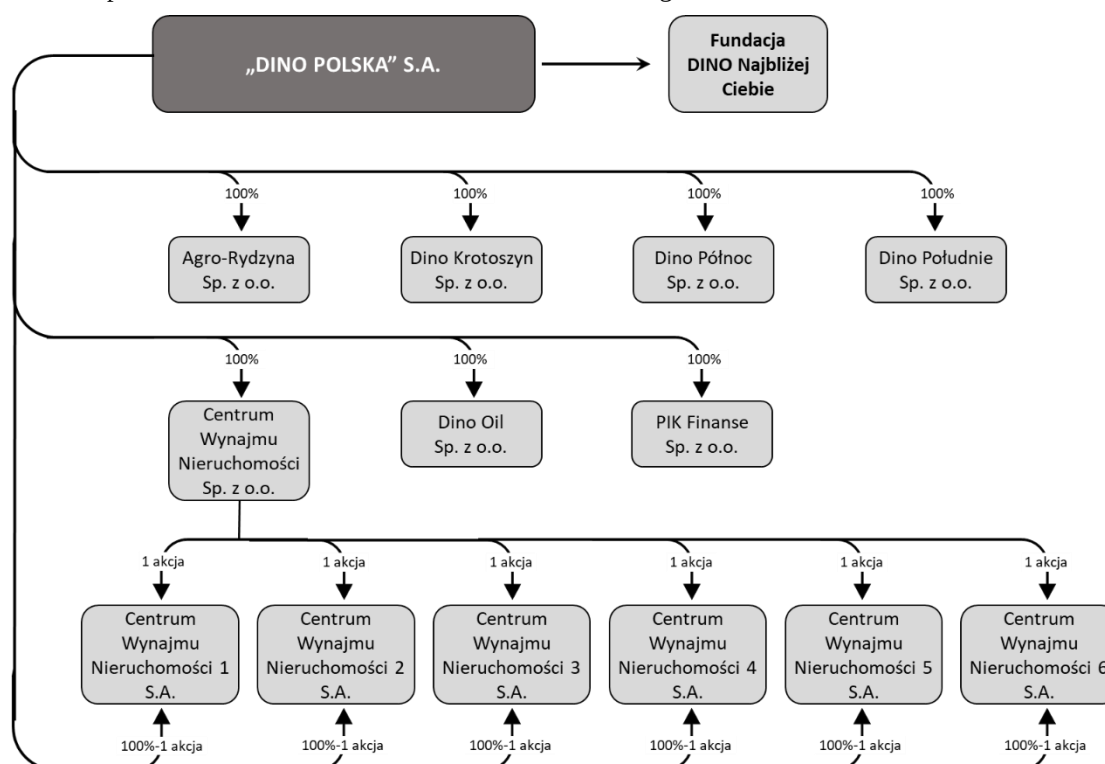
2.3. Group – general information and description of the changes in its organization

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, the selection of the product range offered in the stores and it supports other subsidiaries (Real Estate Lease Centers) in the execution of investment processes related to securing new sites and building new stores. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

As at the date of the Report, the work of Dino Polska is run by a two-person Management Board in the following composition: Izabela Biadała, Chief Operating and Administrative Officer and Management Board Member and Michał Krauze, Chief Financial Officer and Management Board Member. On 23 February 2022 Michał Muskala tendered his resignation from serving in the capacity of a Management Board Member of DINO POLSKA S.A. with effect as of the moment of its submission. The Company's Supervisory Board functions in a five-person composition (Tomasz Biernacki – Chairman and members: Eryk Bajer, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski).

⁴ BT Kapitał Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 160 thousand Company shares.

The Group consists of DINO POLSKA S.A. and the following subsidiaries:



In the first half of 2022 there were no major changes to the organization of the Dino Polska Group.

Subsidiaries are subject to consolidation from the date when the Group assumes control over them, and they cease to be consolidated when control no longer exists. The parent company has control only if it:

- has power over a given entity,
- is subject to exposure, or has rights, to variable returns from its involvement in a given entity,
- has the ability to affect those returns by exercising its power.

The Company verifies the fact of having power over other entities if there is a situation indicating a change in one or more of the above mentioned pre-conditions for control. Where the Company holds less than a majority of voting rights in an entity, but the voting rights held are sufficient to unilaterally direct the relevant activities of that entity, this means that it exercises authority over the entity. When assessing whether the voting rights in a given entity are sufficient to secure power, the Company analyzes all material circumstances, including:

- the size of the holding of voting rights compared to the size of the holding of shares and the degree of dispersion of voting rights held by other shareholders;
- potential voting rights held by the Company, other shareholders or other parties;
- rights arising from other contractual arrangements; and
- additional circumstances, which may prove whether the Company has or does not have the ability to direct the relevant activities at the moment of the decisions, including voting patterns observed at previous shareholder meetings.

2.4. Other information

Correction of errors of previous periods

The Q1 2022 erroneously stated that in Q1 2022 and Q1 2021 the PV installations belonging to the Dino Group generated 23.5 GWh and 4.1 GWh, respectively of solar power. In fact, these figures pertained to the electricity generated from when the Company originally launched the PV installations until that time. The actual volume of solar power generated in these periods was 5.1 GWh and 1.3 GWh, respectively.

Non-recurring amounts and events

No atypical events exerting a material impact on Dino Polska's financial statements for H1 2022 transpired in the period from 1 January 2022 to 30 June 2022.

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2022.

Information about litigation and material proceedings pending in a competent body for arbitration or a public administrative authority

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

In the reporting period there were no related party transactions that were not executed on an arm's length basis. Information on related party transactions is set forth in note 24 to the Interim condensed consolidated financial statements of Dino Polska for H1 2022.

Sureties for loans or borrowings or guarantees extended by the issuer or its subsidiary

In H1 2022 the Company extended the following sureties to its Subsidiaries to collateralize the repayment of loan liabilities:

- civil law surety up to PLN 136.5 million to Centrum Wynajmu Nieruchomości 1 S.A. – collateral to repay liabilities by virtue of the loan extended by Powszechna Kasa Oszczędności Bank Polski Spółka Akcyjna with its registered office in Warsaw ("PKO BP SA") in the amount of PLN 91 million;
- civil law surety up to PLN 136.5 million to Centrum Wynajmu Nieruchomości sp. z o.o. – collateral to repay liabilities by virtue of the loan extended by PKO BP SA in the amount of PLN 91 million;
- civil law surety up to PLN 23.3 million to Centrum Wynajmu Nieruchomości sp. z o.o. – collateral to repay liabilities by virtue of the loan extended by PKO BP SA in the amount of PLN 15.5 million.

In connection with the decision made in Q1 2022 to commence the construction of a new Dino distribution center in the community of Kaliska in the Kuyavian-Pomeranian region ("Investment") the Company entered into a Surety Agreement under which it guarantees payment of the amount due to the contractor of the Investment (i.e. Trasko Invest Sp. z o.o.). Payments are to be made by Centrum Wynajmu Nieruchomości Sp. z o.o., the subsidiary of DINO POLSKA S.A. responsible for conducting the Investment as part of the Dino Group. The surety is for up to the net amount of PLN 95,990 thousand plus VAT. The surety is valid until the date of payment for the last invoice remitted to the contractor of the Investments no longer than to 31 May 2023.

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No material events other than the ones described in this Report and in Dino Polska's interim condensed consolidated financial statements for the 6-month period ended 30 June 2022 that could significantly affect the assessment of the Group's assets, financial position and financial result occurred in the reporting period.

On 18 July 2022, the Company's Management Board adopted a resolution to issue, under the Company's Bond Issue Program of 21 September 2017 (as amended) 170,000 secured bearer bonds, series 1/2022 with a par value of PLN 1,000 each and a total par value of PLN 170,000,000 ("Bonds").

The Bonds are secured by sureties of selected DINO POLSKA Group companies. The issue price of the Bonds was equal to their par value. The bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.2 percentage points per annum.

Principles for the preparation of the interim condensed consolidated financial statements

The interim condensed consolidated financial statements have been prepared in accordance with International Financial Reporting Standard 34 "Interim Financial Reporting" approved by the European Union ("IAS 34").

These interim consolidated condensed financial statements do not contain all the information and disclosures required in annual financial statements and should be read jointly with the Group's consolidated financial statements for the year ended 31 December 2021 approved for publication on 10 March 2022. The interim condensed consolidated financial statements are presented in Polish zloty ("PLN"), while all the figures are stated in thousands of PLN, unless stated otherwise. The interim condensed consolidated financial statements have been drawn up under the going concern assumption for the Group companies in the foreseeable future.

As at 30 June 2022, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where most of the sales are carried out in cash, inventories are minimized and suppliers offer deferred terms of payment. At the same time, the Group intensively develops its network using free cash and funding from bank loans to increase the value of new investments. Covenants related to loan agreements are monitored on an ongoing basis. As at the balance sheet date of 30 June 2022, there was no default on the terms and conditions of loan agreements and the Management Board is of the opinion there is no risk that banks may terminate such agreements within 12 months of the balance sheet date of 30 June 2022. As at the balance sheet date, there are no circumstances indicating a threat to the business continuity of the Group's companies.

3. MANAGEMENT BOARD'S REPRESENTATION

According to its best knowledge, the DINO POLSKA S.A. Management Board ("Company") represents that:

- the interim condensed financial statements of DINO POLSKA S.A. for the 6-month period ended 30 June 2022 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of DINO POLSKA S.A. and its financial result,
- the interim consolidated condensed financial statements of the DINO POLSKA S.A. Group for the 6-month period ended 30 June 2022 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the DINO POLSKA S.A. Group and its financial result,
- the Management Board's Report on the Activity of the DINO POLSKA S.A. Group in H1 2022 contains a true picture of the development, accomplishments and position of Dino Polska and the Dino Group, including a description of the fundamental threats and risks.

Michał Krauze

Management Board
Member

Izabela Biadała

Management Board
Member

Krotoszyn, 18 August 2022

4. APPENDICES

- 4.1. Interim consolidated condensed financial statements of the Dino Polska S.A. Group for the 6-month period ended 30 June 2022
- 4.2. Interim condensed financial statements of Dino Polska S.A. for the 6-month period ended 30 June 2022
- 4.3. Auditor's reports on the review of the financial statements